

States Steel in the following year, even though other factors significantly related to value have changed.

To repeat the argument to this point: Value and price are not necessarily the same thing. Yet the only determinant of value, which is something that cannot be defined, is price. We find a break in the circle of reasoning in the fact that prices are not the same at all times and that changes in certain variables, such as earnings, dividends, and assets, are related to the corresponding changes in prices. If it can be found that a certain relationship between prices on the one hand and the variables of earnings and dividends and assets on the other has been maintained for a long period of time, it might then rightly be concluded that at such moments, or even in such years, as the market deviates from this long held relationship, the distortion is a measure of disparity between price and value. It can be said that, at such times when a given level of earnings, assets, and dividends fails to command the price that has been placed on it most of the time in the past, that is a time of overvaluation or undervaluation. And we can logically use this measure, not as a definition of value, but as a description of it, and as a method for determining the direction in which the market price will probably move by way of readjustment. It is the virtue of a normal relationship that it can be expected to prevail most of the time. What we wish to know is what will be the opinion, expressed in price, of all the buyers and sellers participating in a free market, most of the time.

*Value is something that exists in the minds
of people.*

One cannot be perfectly sure that the variables of earnings and dividends and assets and habit of mind will actually determine the opinion of buyers and sellers. But one can